

ESG Governance: From Structure to Accountability

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various organisations

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1. EXECUTIVE SUMMARY

Boards across Europe have largely completed the first phase of ESG governance: committees are in place, reporting lines exist, and CSRD compliance is underway. This session's central argument – opened by Prof. Katell Le Goulven and carried forward by Dr. Nicola Kimm – is that this structural work is a starting position, not a finish line. The real test of governance is whether a board actively supervises, questions, and owns the sustainability mandate it has given management, or whether it has quietly delegated the topic away and considers it handled.

The discussion that followed, among roughly thirty board members joining in person in Zurich and online, tested that claim against lived boardroom experience: how sustainability governance actually evolves inside companies, where politicisation and regulatory uncertainty are eroding board engagement, how fiduciary liability is rising, and how the language of value creation – rather than compliance – may be the more durable way to keep this topic on the board agenda.

2. OPENING THE FRAME: A STRUCTURAL, NOT A SIDE, ISSUE

Katell opened with the founding definition of sustainability from the 1987 Brundtland Commission: development that meets the needs of the present without compromising the ability of future generations to meet their own. On the first half of that equation, the record is on average globally – global extreme poverty has roughly halved since 2000, access to electricity has reached 90%, and life expectancy has risen by seven years in the same period.

On the second half – not compromising the future – the picture is starkly different. Earth system science points to nine biophysical systems (climate, oceans, biodiversity, freshwater, land and others) that together maintain the conditions for life within the biosphere, a layer of the planet roughly 20 kilometres thick. As of the most recent assessment, human activity has pushed seven of these nine systems outside their safe operating boundaries. The risk beyond these boundaries is not gradual decline but tipping points – thresholds beyond which change becomes non-

linear and, in many cases, irreversible. With global average temperature now set to cross 1.5°C, one such tipping point – coral reef systems – is already at risk of irreversible bleaching.

Three implications for boards followed from this framing:

- It is not about “saving the planet” – it is about us: the conditions under which the next generations, and the two billion more people expected on the planet, will live.
- It is structural, not an externality. These systems are preconditions for human and economic activity to function at all – not a cost to be managed at the margin.
- It is systemic, not organisational. No single company, department, or even industry can resolve this alone – which is why, in the strictest sense, no company is sustainable; at most, an economic system can be.

This last point reframes the task for boards: sustainability governance is not about optimising one organisation’s footprint, but about understanding and actively managing a company’s place within value chains and ecosystems it does not control alone.

3. FROM EXPERT FUNCTION TO BOARD MANDATE: HOW GOVERNANCE HAS EVOLVED

Dr. Nicola Kimm traced the maturing of sustainability governance inside companies over roughly two decades – from a specialist function in an environmental department doing voluntary reporting, to a C-suite responsibility as regulation (the EU Green Deal, EU Taxonomy, CSRD) and investor and customer expectations intensified, to, increasingly, a supervisory board topic in its own right.

Three governance mechanisms recurred as markers of genuine board-level ownership, rather than delegated compliance:

- Formal materiality processes, run with the board rather than presented to it, to determine which sustainability topics are genuinely relevant to that specific company – not a generic checklist.
- Linking sustainability performance to long-term incentive (LTI) compensation for management – tested in practice on metrics such as CO2 and safety, including cases where missed targets reduced payouts.
- A deliberate choice of governance structure – a dedicated sustainability committee, integration into the risk and audit committee, or a separate sustainability advisory board – fitted to the company’s industry and the topic’s materiality, rather than defaulted into.

The session heard that board competence remains uneven: some boards now publish competence matrices showing dedicated ESG expertise among directors, and some companies run external training to bring the full board up to speed – but this is far from universal, and several participants noted that executives are often more fluent on these topics than the boards meant to oversee them.

“When companies mature on ESG, they still need the dedicated expertise, the C-suite responsibility, and the board governance. The question for board members is: how do we ensure we don’t delegate the responsibility, but hold the accountability to create resilience and value?” – Dr. Nicola Kimm

4. WHERE THE ROOM PUSHED BACK AND DUG IN

4.1 A geography of engagement, not a single European reality

Participants were candid that board engagement on sustainability varies sharply by market. In several US boardrooms represented in the discussion, ESG was described as close to a non-topic – in some cases actively politically charged – while in parts of continental Europe, particularly among longer-established industrial companies, compliance is thorough but has not yet translated into a value-creation narrative. Family-owned companies were repeatedly cited as a contrast case: their natural orientation toward the next generation gives sustainability a longer time horizon than in listed companies still primarily governed by near-term shareholder value.

A further geographic point, raised in connection with Katell’s framing: growth and demographic change over the coming decades are concentrated outside Europe and the US – in roughly a dozen countries across the Global South. Several emerging markets, Brazil was cited specifically, are already retooling industries such as cosmetics, food and energy around natural-capital thinking, sometimes for pragmatic supply-security reasons rather than ideological ones. Boards whose mental map stops at the EU-US-China axis risk missing both the regulatory divergence and the innovation happening elsewhere.

4.2 Politicisation and regulatory uncertainty as a genuine governance obstacle

Several board members described a difficult two-sided environment: political backlash in some jurisdictions (the word “woke” being invoked as a live deterrent to even naming sustainability initiatives), combined with a shareholder base in listed companies still primarily focused on near-term value. Regulatory uncertainty compounds this – as EU rules move forward and then partially retrench, companies that build dedicated teams and allocate funds ahead of enforcement risk having invested in a mandate that shifts under them.

The room's consensus was not to wait for regulatory certainty. Several participants described committing to sustainability investments – jointly agreed between board and management – independent of whether a given reporting deadline was postponed, on the grounds that the underlying dependency or risk the company faces does not disappear when the regulation does.

4.3 The case for depoliticising the language, without abandoning the substance

A recurring theme was that the vocabulary of ESG – the acronym itself, along with terms like sustainability, CSR and net zero – has become so loaded and ideologically contested that it is now often counterproductive in the boardroom. The suggested correction was not to abandon the substance but to reframe it as value creation, long-term resilience, and risk-impact-and-dependency management – categories that speak to any board regardless of political orientation, and that connect naturally to existing fiduciary and strategic conversations rather than sitting apart from them.

“The whole ESG, CSRD, sustainability discourse is a bit like getting out of a teenage period – becoming more responsible, less ideological. If you go back to the concept of value creation, it’s much more appropriate, because that is essentially what companies do.” – a participant

4.4 Fiduciary exposure is rising, not stabilising

The room heard that, since 1986, over 3,000 climate-related legal cases have been brought across 55 jurisdictions, increasingly against companies and their boards on fiduciary-responsibility grounds – with around 230 new cases in 2024. This was offered as a concrete counterweight to the view, voiced by some board members, that sustainability governance is discretionary or peripheral: in several jurisdictions, a board cannot legally delegate a long-term strategic topic of this nature to management alone.

4.5 The materiality trap: focus is essential, but could be captured

Several participants argued for sharper focus – choosing a small number of topics where a company can genuinely move the needle, rather than diffusing effort across the full ESG agenda – and for setting an explicit ambition and vision at board level before moving into execution and gap analysis. The counter-caution, raised directly against this, was that the last decade's corporate commitments to net-zero carbon targets shows how focus can be captured by a trend: for some companies, carbon may not, in fact, be their most material dependency or risk. The recommendation was that materiality assessments be run at board level, jointly with management and stakeholders, and judged on both impact and dependency.

4.6 Zooming out: sustainability as an ecosystem problem, not a company problem

A sharp exchange centred on two recent, concrete events: low water levels on the Rhine forcing industrial shutdowns in Switzerland, and cooling-water shortages forcing nuclear reactor closures in France during a heatwave. The observation from the floor was that almost no company outside the directly affected industries had publicly connected these events to their own exposure – despite operating in the same interconnected system. Unlike carbon, which is measured as a single global metric, risks such as water and biodiversity are inherently local: understanding who manages a watershed, how water is distributed downstream, and what role a company's own operations play in maintaining or depleting it cannot be resolved at the level of an individual company – it requires engagement with the specific local stakeholders in that location.

“We all have to see the problem. It’s not just the neighbour who has this issue and I don’t – we’re missing this zoom-in, zoom-out aspect. We have to fix our own company, but we are not alone. We live in an ecosystem.” – a participant

4.7 A more powerful mental model than the triple bottom line

One participant challenged the commonly taught “triple bottom line” image of economy, society and environment as three intersecting, roughly equal circles, arguing it misrepresents the actual dependency structure. The more accurate model is a nested system: the economy sits inside society, which sits inside the environment – a one-directional dependency, not a set of equal, overlapping domains. Boards that internalise the nested model, rather than the intersecting one, are less likely to treat environmental risk as one input among equals.

4.8 Collaboration as the antidote to administrative burden — and a warning about retrenchment

Industry-level and regional collaboration was raised as a practical way to reduce the burden on individual companies – sharing nature-related risk disclosures and dependency assessments with neighbouring companies in the same location or sector, rather than each running the exercise alone. A cautionary note followed: in the current economic environment, several participants observed companies scaling back sustainability teams first when cost pressure rises – an ironic pattern, since those same teams are often the ones working to reduce the company's exposure to the volatile, concentrated resource dependencies (a single supplier, a single watershed, a single raw-material source) that make companies fragile in a downturn in the first place.

4.9 Reframing value creation itself

A separate contribution proposed moving the conversation from ESG compliance language toward a broader reframing of what value creation means for a company today. Historical research into corporate failure – an analysis of roughly 850 bankruptcies of companies with over \$1 billion in revenue over 25 years – found that lack of financial discipline was the leading cause (roughly half of cases), but that a lack of “mutuality” – weak, extractive relationships with the wider ecosystem of stakeholders who might otherwise sustain a company through a downturn – was the second largest cause, ahead of failure to adapt to new technology. The argument: resilience built on genuine stakeholder relationships, investment in natural, social and human capital alongside financial capital, is becoming a core business capability in a more volatile world – not a discretionary add-on, and very much a board-level, long-term responsibility rather than a management-level, short-term one.

A linked observation: no one, including prominent advocates of “net positive” business, has yet been able to name a single genuinely net-positive company – reinforcing Katell’s opening point that sustainability is a property of systems and economies, not of individual companies acting alone.

4.10 A note on education

More than one participant pointed to a gap in board-level education on these topics specifically – in some cases assessing that executives are, today, better equipped to engage with sustainability and systemic risk than the boards meant to oversee them. Executive education for board members on this topic was raised as a concrete, practical step Board Agora itself could help support.

5. CLOSING REFLECTIONS FROM THE CO-MODERATORS

“The board’s responsibility should be actively driven together with management – understanding both the risks and the opportunities, building value for the future, and being clear on what the company should really focus on to create positive impact and avoid negative impact. The board has a real responsibility here, and it can make a genuine difference.” – Dr. Nicola Kimm

“We’re past the hype phase of this topic. The entry point that brings people back into the conversation is the tangible – dependencies, risks, impacts, opportunities – while keeping in view that this is structural and systemic; that is the board’s job. And second: what we’ve discussed here isn’t specific to sustainability – it’s the kind of systems leadership every board now needs, for AI, for geopolitics, for everything. Nothing is linear anymore. The investment a board makes in this capability benefits the whole organisation, not just this one topic.” – Prof. Katell Le Goulven

6. QUESTIONS WORTH BRINGING BACK TO YOUR OWN BOARDROOM

- If our company misses its top sustainability KPI this year, can we name – right now – the person at the table who owns that outcome?
- Do our sustainability KPIs sit inside someone's performance review and compensation the way our financial targets do, or do they live only in a report the board reads once a year?
- If our sustainability KPIs were financial numbers, would this board accept the current level of scrutiny – or would we already have asked for more?
- Is our sustainability strategy genuinely material to our own dependencies and risks, or has it been shaped by what our peers are doing?
- Have we connected the dots between resource shocks elsewhere in our ecosystem – a low river, a heatwave-driven shutdown – and our own exposure, or would we be caught by surprise?

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Board Agora Knowledge Paper

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